

2026-27 Preliminary Budget Guidelines & Assumptions

The purpose of Stillwater Area Public Schools is to inspire curiosity and the love of learning in every child. We provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures.

We are committed to creating a culture that supports students and staff so that they can be their best. To that end, district leaders are utilizing a Priority-Based Budgeting (PBB) process to ensure money is being invested in areas that support the district's goals. PBB identifies the programs that offer the highest value and continues to provide funding for them, while fixing, replacing or eliminating programs or services that have shown limited value or success.

Priority-Based Budgeting Framework:



Source: [Government Finance Officers Association](#)

The preliminary budget is being established to mirror the beliefs of the district and align with the strategic plan's directions, objectives and key initiatives.

Beliefs:

- Everyone belongs
- Everyone has a voice
- All students deserve an excellent education
- The whole child matters
- Curiosity thrives here

Strategic Directions:

- Strategic Direction A: Ensure the learning process is adaptable to meet individual student needs
- Strategic Direction B: Foster a safe, welcoming and inclusive environment for all staff and students
- Strategic Direction C: Utilize systems and align resources in an efficient manner to support learning
- Strategic Direction D: Develop strong partnerships with the communities we serve

Strategic Plan Objectives:

The objectives of our strategic plan are based on the Minnesota Department of Education's Comprehensive Achievement and Civic Readiness goals.* Each year, our school board members and district staff work together to set goals in each of the five focus areas. Goals may range from one to three years in length.

Strategic Plan/Comprehensive Achievement and Civic Readiness Objectives

- All children are ready for school
- All students can read at grade level beginning in Kindergarten
- All racial and economic achievement gaps are closed
- All students are ready for career and college
- All students graduate from high school

*Minnesota Statute 120B.11

Strategic Plan Key Initiatives:

- Literacy
- School Culture, Equity & Inclusion
- Social Emotional Learning

Preparing Preliminary Budget Calculations:

Enrollment: Enrollment for the 2026-27 school year will be projected using the information provided by the MARSS/Enrollment Office as of 2/5/26. The Chief Financial Officer will coordinate any final changes to projected enrollment, as necessary.

2026-27 Revenue Projections

- Revenue will be calculated using the current formula allowances in State legislation.
- Levy revenue will be based on the amount certified by the School Board on December 16, 2025, with adjustments for enrollment, as necessary
- Federal revenue, including entitlements, will be based on preliminary information provided by the Minnesota Department of Education (MDE) & district estimates

2026-27 Expenditure Projections

- Expenditure projections are based on actual salaries and benefits, honoring all labor agreements
- Staffing allocations are based on projected enrollment
- Benefit rates will include changes in rates for medical & dental insurance, pension contributions (PERA, TRA), or other changes to benefit plans
- Projections for certain non-salary expenditures will include adjustments for inflation
- Use of restricted fund balance for next fiscal year must follow Policy 714 & statutory guidance

Fund Balance: In accordance with Policy 714 – Fund Balances, the school district will strive to maintain a minimum unassigned general fund balance of five (5) percent of the annual general fund budget.

Presenting the 2026-27 Budget:

Timeline: A 2026-27 budget timeline will be shared with the School Board and published in the [Business & Finance](#) section of our website.

Presentation Format: Summary information will be presented by fund, in addition to comparisons of revenue, expenditures and changes in fund balance. The preliminary budget document will include an overview of the district and goals of the strategic plan, enrollment projections and trends, staffing allocation ratios, in addition to budget summaries by fund that will highlight key areas that have changed for the upcoming fiscal year.

The Preliminary Budget: In accordance with Policy 701 – Establishment and Adoption of School District Budget, the School Board shall approve and adopt its initial revenue and expenditure budgets for the next school year prior to July 1 of each year. Preliminary Budget documents and presentations will be available on the [Business & Finance website](#).